



THE CHARTERED INSURANCE INSTITUTE

ADVANCED DIPLOMA

OCTOBER 2008 EXAMINATION PAPER

**UNIT 556
LIFE AND DISABILITY CLAIMS**

INSTRUCTIONS

- Three hours are allowed for this paper.
- Fill in the information requested on the answer booklet and on form B.
- You are allowed to write on the inside pages of this question paper but you must **NOT** write your name, candidate number, PIN or any other identification anywhere on this question paper.
- **The answer booklet and this question paper must be handed in personally by you to the invigilator before you leave the examination. Failure to do this may result in your paper not being marked and you may be prevented from entering this examination in future.**

READ THE INSTRUCTIONS OVERLEAF CAREFULLY BEFORE ANSWERING ANY QUESTIONS.

THE CHARTERED INSURANCE INSTITUTE

556 – Life and disability claims

CANDIDATE INSTRUCTIONS

READ THE INSTRUCTIONS BELOW BEFORE ANSWERING ANY QUESTIONS.

Three hours are allowed for this paper. You should answer all questions in Part I, the compulsory question in Part II and three out of the five questions in Part III.

The paper carries a total of 200 marks, as follows:

Part I	8 compulsory questions	48 marks
Part II	1 compulsory question	50 marks
Part III	3 questions selected from 5	102 marks

You are advised to spend no more than 45 minutes on Part I.

Where a question is split into parts (a), (b) etc, marks for each part are only shown if they are split unevenly between the parts and you should spend your time in accordance with the allocation.

Answer each question on a new page. If a question has more than one part, leave several lines blank after each part.

It is important to show each step in any calculation, even if you have used a calculator.

You may find it helpful in some places to make rough notes in the answer booklet. If you do this, you should cross through these notes before you hand in the booklet.

PART I

**Answer ALL questions in Part I.
Each question is worth six marks.**

Note form is acceptable where this conveys all the necessary information.

1. (a) Outline what a power of attorney is and how such power is granted. (4 marks)

 (b) Give one example of the circumstances when it might be used. (2 marks)

2. What information is contained in a life assurance policy schedule?

3. (a) Why were extended headings for the definitions of critical illness introduced in the Association of British Insurers (ABI) Statement of Best Practice for Critical Illness in 2006? (2 marks)

 (b) Give two examples of extended headings. (4 marks)

4. There are two specific exclusions under the latest Association of British Insurers (ABI) definition of benign brain tumour. What are they and why are they excluded?

5. (a) What is dialysis? (2 marks)

 (b) What are the two main ways in which this is performed? (4 marks)

6. (a) Explain how a pregnancy exclusion clause operates in respect of an income protection claim. (4 marks)

 (b) What factors need to be addressed when drafting such clauses? (2 marks)

7. When might a grant of representation be waived by an insurer settling a death claim?
8. (a) Briefly explain what disability living allowance is. (2 marks)
- (b) Outline the different components of the disability living allowance. (4 marks)

FOR USE WITH QUESTION 9 ONLY

STUDY THE INFORMATION BELOW AND THEN ANSWER THE QUESTIONS.

Policy Details	
Insured: Mrs Mary Stirling	Date of Birth: 13 August 1969
Term assurance with waiver of premium, critical illness and total and permanent disability.	Sum Assured: £250,000
Proposal date: 20 August 2006	Commenced: 23 August 2006
Deferred period: 4 weeks	Ordinary rates
Premium: £40 per month	Duration: To age 60
Proposal Form Summary	
Height: 165cm Weight: 65kg	Smoker: 20 cigarettes per day
Occupation: sales assistant – no manual duties.	No adverse disclosures.
Definitions of Disability	
Total and permanent disability definition – totally and permanently unable, as a result of sickness or accident, to carry out any occupation for which he/she is reasonably suited by means of education, experience or training.	
Waiver of premium definition – totally unable as a result of sickness or accident to carry out the occupation notified to and accepted by us.	
Claim Form Information	
- Struggled for some months before finally having to cease work in February 2007. Have not been able to undertake any work since that time although did go back to place of employment on a couple of occasions purely to attend disciplinary hearings. - Suffering from a recurrence of Chronic Fatigue Syndrome. - Job involved a lot of travel, and carrying sample products from car to showrooms – up to 15kg each item. - Have been extensively investigated and treated by various specialists but now discharged back to General Practitioner (GP). - Taking pain killers and homeopathic remedies. - Attendance at family outings and college lectures has been limited by pain and immobility. - Did apply for one job as a librarian but couldn't cope with lifting books so withdrew my application before the interview. - Have moved to a bungalow nearer to children's school to ease day to day living, and minimise child care burden. 'I will never work again.'	

PART III

**Answer THREE of the following FIVE questions.
Each question is worth 34 marks.**

10. (a) Describe the three components of a standard set of accounts. (13 marks)
- (b) Explain the account entries that an income protection claims assessor will find particularly relevant for the assessment of benefit payable. (21 marks)
11. (a) What factors does a claims assessor need to take into account when considering the instruction of a Private Investigator (PI)? (13 marks)
- (b) Outline the range and type of guidance that should be followed once the decision is made to instruct a PI. (21 marks)
12. What are the five possible cardiac or cardiovascular conditions or procedures covered by the Association of British Insurers (ABI) Statement of Best Practice for Critical Illness 2006?
- For each one, summarise the current definition and provide an overview of what constitutes a valid claim.
13. (a) What is the alimentary tract? Outline its main components and the functions performed by them. (16 marks)
- (b) Provide an outline of the following two conditions.
- (i) Crohn's disease.
- (ii) Ulcerative colitis. (18 marks)
14. Explain the key components of a claim form for individual income protection. Outline the nature of information that should be requested in this document and why this information is needed.